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AGRARIAN REFORM IN COLOMBIA PROBLEMS OF SOCIAL REFORM

COLOMBIA'S current attempt at agrarian reform[1] began in December 1961 with the passage of Law 135, "On Social Agrarian Reform." The Law has as its central objective[2] a change in land tenure relationships in the densely populated western (or Andean) section of Colombia, where latifundia and minifundia often exist side by side. The Law established the Colombian Agrarian Reform Institute (*Instituto Colombiano de la Reforma Agraria* or *INCORA*) as a semi-autonomous governmental agency to direct the process of reform. In recent months, however, the pace of the reform, which began ten projects during the first six months of 1962, has been slowed considerably due to a multitude of problems, among which the most serious are unswerving opposition to the program by both the large landowners and their allies on the right, the *Movimiento Revolutcionario Liberal* (MRL and its allies on the left, and inadequate financing.

1 A previous attempt at reform in 1936 under the first López administration did not come to grips with the main problems of land tenure and concerted opposition to the law from the large landowners, together with a reaction to López' *Revolución en Marcha,* combined to negate the effects of this early attempt at land reform.

2 Article 1, Paragraph 1 and 2 of Law 135 reads:
"Inspired in the principle of the common good and in the necessity of extending to ever-increasing sectors of the Colombian rural population the exercise of the natural right to property, harmonizing it, in its conservation and use, with the social interest, this law has the following objective:
"First. To reform the social agrarian structure by means of appropriate procedures, to eliminate and prevent the inequitable concentration of rural property or its anti-economic fractionation, to reconstitute and to grant lands to those who do not have them, with preference to those who conduct directly their own exploitation and incorporate therein their personal labor."

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Political opposition from the right comes from those who believe that the reform has gone too far in expropriating private property and has not paid adequate compensation for this property. Opposition from the left originates with those who believe that the reform has not gone far enough in expropriating private property and has paid too much for the property already expropriated. The proponents of the reform appear to have been partially successful in overcoming opposition from the MRL and its allies. Political overtures by Liberal party chief, Carlos Lleras Restrepo, to the more moderate elements of the MRL have produced serious divisions within that party, which has broken into three groups: the *pelusa* faction on the extreme left, the moderate faction following Alfonso López Michelsen, nominal head of the MRL, and a third group standing ideologically somewhere in between the other two. Moreover, reports of defections by various Departmental groupings of the MRL to the orthodox Liberal party have continued. In particular, MRL groups in Santander and Antióquia have declared in favor of Lleras' recently announced candidacy for the Presidency in 1966.

The prospects for overcoming the ever increasing opposition from the right do not appear as promising. During 1963 the Society of Colombian Agriculturists (*Sociedad de Agricultores Colombianos* or *SAC*), a pressure group of large landowners, continued attacking the agrarian reform program. From time to time the SAC has acquired new allies — Calibán,[3] the powerful political columnist for *El Tiempo,* being the most effective. Beginning in early January, his column repeated the main SAC arguments against the reform. Echoing the theme that colonization is the answer to Colombia's agricultural problems,[4] the columnist stated that "INCORA parcels land near the cities but not in Caquetá, where all the corn the country needs plus an exportable surplus could be grown."[5] In addition to Calibán, others began to agree with the landholders' assertions that INCORA was moving too fast and in the wrong direction. The Institute was attacked several times in the Congress. One Conservative Senator, amplifying on his theme that the people were beginning to fear INCORA, stated that "upon buying land the purchasers place the condition that it be free of Sangrenegra and Peñalosa."[6] An attack against the course of the reform was mounted by Jorge Mejia Salazar, President of the Bank of Bogotá, who felt that "INCORA

3 Pseudonym for Enrique Santos Montejo.

4 An attractive but specious argument used by SAC against expropriation of private property in western Colombia.

5 *El Tiempo,* May 23, 1963.

6 *Sangrenegra* (Black Blood) was one of the country's most feared bandits. Enrique Peñalosa is the Director of INCORA.

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should not expropriate adequately cultivated lands except for their commercial value and in cash. To do otherwise would reduce production. Finally, INCORA should parcel more lands in the Llanos and less near the cities.[7] The Catholic Church, which had been one of the reform's major supporters, now began to show signs of division on the issue. Father Jaime Martínez Cardenas, Director of the National Secretariat of Catholic Action, argued that the present orientation of the reform program would produce a disastrous fall in investment in the agricultural economy of the country.[8] Although the validity of the arguments presented by the SAC and its allies is open to serious question,[9] they do have an appeal and have fomented increased opposition to the reform, which is precisely their purpose.

The opposition to the reform has not yet spilled over into the political party arena. In fact, with the peace pact between the *Laureanista* and *Ospinista* factions of the Conservative Party and the subsequent inclusion of the *Laureanistas* in the *Frente Nacional* and in the governmental machinery, the danger that they will once again overtly oppose the reform merely for the sake of opposition appears to have lessened.[10] Yet the reform is still attacked, not only by the *Laureanista* elements and by SAC, but also by the *Ospinistas* and the Liberals.

The change from a Liberal to a Conservative President, from Alberto Lleras Camargo to Guillermo León Valencia, has also contributed to the slowness with which INCORA has proceeded with its task. Agrarian reform had been nurtured by the Liberal Party and was one of Lleras Camargo's major preoccupations. While Valencia had been a partisan of the Law and had voted for it and had spoken in its defense in the Senate, it was not his "baby," but rather his stepchild. Military pacification of Colombia's bandit areas became the announced primary goal of the Valencia administration[11] and funds and energies have so far been funneled into this effort, to the detriment of other programs including agrarian reform.

Considering the strength of the attacks and the apparent weakness of the defenders of INCORA's actions, it appears that effective imple-

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7 *El Tiempo*, June 2, 1963.

8 Jaime Martínez Cardenas, S. J., "La Reforma Agraria en Colombia," *Revista Javeriana* (Bogotá), July 6, 1963, p. 27.

9 See my article "Agrarian Reform in Colombia: Colonization or Parcelization," *Inter-American Economic Affairs*, Winter 1964.

10 *Laureanista* opposition to the passage of the Agrarian Reform Law during 1960-1961 was attributed more to political pique than to intellectual opposition to agrarian reform.

11 See several of Valencia's speeches in Guillermo León Valencia, *Politica Económica y Social* (Bogotá: Imprenta del Banco de la República, n. d.).

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mentation of the agrarian reform program may not occur in Colombia in the near future. A possible reason for its failure is the fact that those attempting to implement the reform belong to the same social and economic class as those who oppose it. Pointing to the fact that the three far-reaching agrarian reform programs carried out thus far in Latin America[12] have occurred only after violent revolutions, some observers have concluded that the Colombian effort is doomed to failure because of this lack of basic conflict between those in favor of and those opposed to the reform. Admittedly, there is a feeling among all sectors of the political elite that perhaps some of its members have gone too far, or will go too far, in involving politically inactive groups in what hitherto has been the private political preserve of a small group within the Colombian nation. The leaders of the *Frente Nacional* have not yet consciously decided to create a constituency for the agrarian reform, and this lack of a constituency could prove fatal to the program. As Professor Albert O. Hirschman put it:

> . . . a society dominated by traditional power groups noted with shocked surprise that it had introduced into its midst a Trojan Horse, an infernal machine called INCORA which seemed to take seriously its mission to "reform" the social agrarian structure by means of procedures designed to eliminate and prevent the inequitable concentration of landed property or its anti-economic dispersion . . . it became increasingly likely that INCORA, operating in the open and subjected to increasingly ferocious attacks from those whose interests it threatened, would now need that direct support from public opinion which had not been invoked earlier. . . . And in any event, is it not a pity for a country to exclude the public from viewing, applauding, and living what is surely one of its finest hours?[13]

Professor Hirschman is suggesting that the basic decision to arouse public opinion in support of agrarian reform must be made if that reform is to prove effective. Given the present orientation of the Valencia government, this decision is most unlikely. However, it is possible that the decision may be made in 1966. Under the alternation formula adopted as part of the political truce between Liberals and Conservatives, the President from 1966 to 1970 will be a Liberal. As acknowledged leader of his party and an avowed candidate for the Presidency, Carlos Lleras Restrepo is the likely choice. Lleras Restrepo did, in fact,

12 In Mexico, Bolivia, and Cuba. Venezuela's reform program, if it continues at its present pace, will soon be the fourth far-reaching reform.

13 Albert O. Hirschman, *Journeys Toward Progress* (New York: Twentieth Century Fund, 1963), p. 158.

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take the case for agrarian reform to the *campesinos* during 1960 and 1961, in a series of stump speeches throughout the country. His recent pronouncements indicate that he is prepared to do this again if he believes it necessary to the success of the program. He is also committed deeply and publicly to the present emphasis upon parcelization in western Colombia in preference to the less politically abrasive colonization approach. It appears probable that if Lleras is elected President, agrarian reform will receive far greater support and emphasis from the national government than is now the case.

Even if the problem of political opposition is solved to the satisfaction of the reform's proponents, financial problems will continue to mitigate against the success of the reform. While political opposition has contributed to the financial problems facing the agrarian reform effort, the problem of financing that effort — the proper method of financing, how much to finance, and of course, the problem of inadequate financing — has plagued the effort from its inception, quite independent of difficulties caused by political opposition.

A method of financing agrarian reform was adopted only after long debate both in the National Agrarian Committee and in the Colombian Congress.[14] Basically, the question revolved around payment for expropriated lands and was finally resolved by a compromise written into Law 135. In essence, the compromise called for payment for uncultivated lands with twenty-five-year, two per cent bonds; payment for inadequately cultivated lands partly in cash and partly in non-negotiable government securities, repayable in eight annual installments with four per cent annual interest; and payment for adequately cultivated lands partly in cash (a higher maximum cash payment obtained here), and partly in non-negotiable government securities, repayable in five annual installments with six per cent annual interest. In adopting this compromise the Colombian legislators departed slightly from the "classic" solution of paying for land with negotiable agrarian bonds. The compromise on non-negotiable securities was arrived at in the Third Committee of the Senate for what appeared to be purely political reasons:

> The objection to payment in bonds that could and would depreciate in the market was countered by a new, purely face-saving formula: in lieu of bonds, the expropriated owners were to receive Treasury obligations which, being non-negotiable, would not exhibit any depreciation, at the option of the

[14] The agrarian reform bill was considered by Congress from November 12, 1960 until its final passage by the Senate on December 13, 1961.

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> owners these obligations could be exchanged into negotiable, longer-term bonds.[15]

The longer-term bonds referred to were the Class A Agrarian Bonds to be issued by the government. As these bonds were to have an amortization term of fifteen years (as against eight and five years for the government securities) it was doubtful that their seven per cent interest rate would prove attractive enough to counteract the added capital depreciation incurred over the longer time period.

Unfortunately, the decision to opt for payment for expropriated lands with non-negotiable securities, while politically desirable, inevitably produces an unfortunate economic effect. The bearer of the non-negotiable securities is forced to reduce his economic activity—his investments in the country's economy—by an amount equal to his holdings of those securities. Considering the total development of the country, this forced economic inactivity is deleterious. The economic dilemma faced by nations issuing bonds in payment for expropriated lands was described succinctly by Arthur W. Bunce, former Chief Far Eastern Section, Division of International Finance, Federal Reserve Board of the United States:

> Where there is large scale tenancy and large amounts of land to be purchased for redistribution, the government can seldom pay cash without endangering the whole economy. The other alternative, of course, is to give the landlords bonds; then the government can determine how these bonds may be used. Obviously, if the bond can be cashed, paying bonds is the same as paying cash. Therefore, the bonds must be restricted, and they can be restricted in many ways. A bond can be made non-transferable; it can also be made non-redeemable, even by the government. The result is that the landlord obtains a bond, usually paying a low relative rate of interest, and he may be obliged to hold it. In the areas where capital is greatly needed in other fields, holding such bonds does not increase the investment capital of the country. It is, therefore, highly desirable that, instead of having rigid restrictions on redemption, the government allow the bonds to be cashed for stated purposes, such as investment in industrial projects. This opening up of new sources of capital for investment may be a very important supplementary program to land reform.[16]

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15 Hirschman, *Journeys Toward Progress,* p. 265.

16 Kenneth H. Parsons, Raymond J. Penn, Philip M. Raup, *Land Tenure.* Proceedings of the International Conference on Land Tenure and Related Problems in World Agriculture held at Madison, Wisconsin, 1951 (Madison: University of Wisconsin Press, 1956), p. 484.

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In other words, one of the basic economic objectives of a land reform program should be to transfer capital from relatively unproductive investments in land into more productive areas of the economy and to increase the productivity of the capital being invested in the land. Unfortunately, the adoption of non-negotiable government securities as instruments of payment did not perform this function. In this sense, the "problem" of the method of financing the reform was not solved adequately by the Colombians.

The second major problem — how much to finance — has not yet been solved. A severe financial crisis beginning in the latter half of 1962 and extending well into 1963 has contributed materially to the slow pace of agrarian reform. Colombia's basic financial problem is lack of foreign exchange, principally United States dollars, resulting from a fall in coffee prices from a high of 90 cents a pound in 1956-1957 to a low of 40 cents in 1962.[17] (Coffee sales provide between 70 and 80 per cent of Colombia's foreign exchange earnings.) Despite heroic belt-tightening efforts by the Lleras administration, the situation had so deteriorated by August 1962 that some sort of devaluation was inevitable. The Central Bank, which had been attempting to support the "free" peso-dollar rate at approximately 9 to 1, was almost bereft of dollars which it might intervene in the money market. The monetary authorities realized that the "official" rate of 6.70 to 1, at which licensed importers could buy dollars, was causing a severe drain on the foreign exchange reserve and was no longer tenable. Accordingly, on November 3, Finance Minister Carlos Sanz de Santamaría proposed a *de facto* devaluation of the official rate from 6.70 to 1 to 9 to 1. The devaluation was to be accompanied by additional taxes on beer, gasoline, tires, and liquor. Congress approved the Sanz plan on December 20 and the *de facto* devaluation, consisting of 2 pesos 30 centavos surcharge on dollar purchases at the official rate of 6.70 went into effect. The free rate was subsequently supported successfully at 10 to 1. The devaluation made imports more expensive to the Colombian consumer and since Colombia imports most of her farm machinery the necessary mechanization of agriculture has been slowed appreciably. Further, the Sanz Plan called for a rigid austerity program within the government in order to help make the devaluation effective. As a result, INCORA received only 20 million pesos from the national budget in 1962 instead of the 100 million pesos pre-

17 Organization of American States, Committee of Nine, "Evaluation of the General Economic and Social Development Program of Colombia." Mimeographed report presented to the Government of Colombia by the *ad hoc* Committee, July, 1962, p. 83.

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scribed by Law 135.[18]

This 80 per cent reduction seriously hampered the Institute's ability to acquire necessary lands and to begin the construction of needed roads, houses, and public services. Throughout the second half of 1962 and the first half of 1963, public and international attention focused on the country's financial crisis and the government's attempts to meet it. Of 255 million dollars in international loans to Colombia during 1962, 203.9 million were classified either as budget support or balance of payment loans.[19] In spite of the large amount of budget support loans, the national government announced a budgetary deficit for 1962 of 57,092,000 pesos. Further, the retail price index showed a price rise from 188 on January 1, 1963, to 228 on March 1, 1963. The price of one kilo of ten basic foods had risen from 24.76 pesos in March 1962 to 32.07 pesos in March 1963. Faced with such staggering financial problems, it was no wonder that Colombians from all walks of life tended to relegate agrarian reform to a low place on the list of national priorities.

The operations of the agrarian reform were to be financed through annual appropriations to INCORA from the national budget, plus any domestic or foreign loans that might be contracted by the government or by INCORA. International support has been given when asked: in July 1963 a ten million dollar loan from USAID directly to INCORA was announced, the purpose of which was to institute a nation-wide program of supervised credit. Thus far, no other loans have been announced, and the Colombian government has not intimated that it will submit more applications. It appears likely, however, that USAID or the Inter-American Development Bank would give sympathetic consideration to such loan applications, if properly presented.[20] This would especially be true if the loan applications were to support a technical program such as supervised credit.

Basically, then, INCORA is sharing in the problem faced by the Colombian nation, the problem which is faced by almost all of the developing nations that are in either the traditional or pre-take-off stage of economic growth. This is the problem of obtaining adequate financial resources to bring the nation's economy to the take-off point — the point

18 Colombia, INCORA, *Informe de Actividades en 1962* (Bogota: Imprenta Nacional, 1963), p. 101.

19 *El Tiempo,* June 13, 1963, p. 1.

20 Proper presentation has been one of the major problems for other Colombian governmental and semi-governmental entities asking for loans from the various lending agencies. It would appear that INCORA, with its capable direction and with the assistance of both FAC and USAID personnel, would not be vexed with the problem of improper presentation of loan requests.

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from which self-sustaining economic growth can be maintained.[21] Added to this problem, however, is the need to distribute the shares in national income among the social and economic groups represented within the nation, to provide a firm political base upon which the progress of the future can be based. These, it would appear, are the two major *desiderata* of any reform effort such as the Colombian agrarian reform program.

As a result of the current financial squeeze, the Colombian government will not, within the crucial five-year period ahead, boost the financial resources necessary to ensure the success of a nation-wide program of agrarian reform. This is the period during which vast outlays must be made on land acquisitions and on the social and economic programs ancillary to land distribution. After this initial period, INCORA might, in a small way, achieve its own period of self-sustaining economic growth through interest and capital payments on debts owed the Institute by recipients of land. In the meantime INCORA will be faced with the dilemma of how to implement a meaningful program of agrarian reform within a period of time short enough, so that public confidence in and support for the program will not be entirely dissipated, while operating with financial support insufficient to ensure the success of the program.

Several solutions to the financial problem have been suggested. The idea of payment for land in bonds redeemable for the various fixed purposes has already been discussed. Such a solution would undoubtedly contribute to the over-all economic development of the country by channeling hitherto unproductive funds into new, presumably productive enterprises. However, payment in bonds would produce some effects upon the agrarian reform program itself. The redemption of these bonds would increase investment capital in other areas of the economy at the expense of the agrarian reform effort. Even if the use of the money were severely limited, it is probable that many bond holders would rather invest their money in a field of forced investment, rather than allow their money to depreciate substantially over a period of several years. As each bond was cashed, the National Agrarian Fund would be depleted by a like amount of liquid assets, and the reserves available to INCORA for the acquisition of land or the provision of rural services would be depleted. Consequently, the Institute's scope of action would be narrowed, almost as if the Institute had been required to pay cash instead of make payment in bonds. This is what Mr. Bunce meant when he said, "Obviously, if the bond can be cashed, paying bonds is the same as paying

21 See W. W. Rostow, *The Stages of Economic Growth* (London: The Cambridge University Press, 1963), Chapter II.

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cash." It appears that payment for land in bonds redeemable for specified purposes would create additional growth within the entire economy of the country, but at the risk of emasculating the agrarian reform program during its crucial early years.

A second solution to the problem of financing agrarian reform has been suggested by the Society of Colombian Agriculturists and by Father Martínez in his article referred to previously. This solution is based upon the proposition that vast government outlays for programs destined to increase agricultural production would not be necessary if only private investment sources could be persuaded to invest in Colombian agriculture: private sector investment could provide necessary capital outlays with little or no government assistance. Both the SAC and Father Martínez advocate an end to expropriations of adequately utilized lands, or payment for these lands entirely in cash at their commercial value; and an increased emphasis upon colonization in preference to parcelization. This redirected emphasis would presumably bring about a salutary increase in private investment in the agricultural sector.[22] Aside from the considerable social and political arguments against such an approach, it appears extremely doubtful whether such a policy would indeed induce private capital to invest in a balanced agricultural program. The 1955 ECLA study of Colombian agriculture indicated that "many negative aspects of Colombian agriculture can be largely explained by the low level and composition of agricultural investment in absolute as well as per capita terms."[23] The study indicts past practices of Colombian capital " . . . investment in cattle and soil improvement (irrigation projects, cleaning and clearing) amount to about 60 per cent of all the capital, while investment in buildings, installations, and fencing is only 14.9 per cent, and in equipment and machinery hardly 1.9 per cent." The study points out that the miniscule investment in working equipment was hampering the application of modern farming methods designed to increase productivity. In fact, Law 135 and its execution seek to correct this unbalanced investment picture through increased investment in non-coffee and non-cattle agricultural enterprises. The attempt has not been to reduce the level of private investment in cattle-raising or coffee growing but rather to raise the level of investment in other agricultural sectors relative to that in cattle and coffee. The major flaw in the private investment solution to the problem of financing is that past experience has

22 Jaime Martínez, "La Reforma Agraria en Colombia," *Revista Javeriana* (Bogota: July, 1962) and various pronouncements by the SAC in *El Tiempo* during 1963.

23 United Nations, Economic Commission for Latin America, "Analysis and Projections of Economic Development: Colombia" (Bogotá: mimeographed, 1955), p. 188.

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shown that it does not work in Colombia. There are no indications that any basic change in investment philosophy has taken place within the Colombian private investment sector or within the foreign groups investing in Colombian agriculture. Both groups have, for a variety of reasons (foremost among which is the prospect of more immediate and greater return on their investment) favored industrial investments over capital investments in agriculture. Or, if security of investment has been the goal, real estate investments have been sought. Within the agricultural sector, investment has been concentrated largely in cattle and coffee, to the detriment of production of necessary agricultural commodities and of the majority of the Colombian rural population which is not engaged in these two agricultural pursuits. Thus far, no evidence has been submitted indicating that private sector investment, if encouraged to invest in crop agriculture at the cost of the emasculation of INCORA's program of land acquisition and distribution in western Colombia, would produce anything other than a return to the anti-economic, anti-social investment pattern which prevailed prior to 1961. This is the very situation which the Colombian agrarian reform is endeavoring to correct, and a return to the practices which brought about the situation would in all probability obviate any real agrarian reform in Colombia.

A different, new, striking proposal for a solution to INCORA's financial problems has been made by the UN Food and Agricultural Representatives in Colombia. The proposal is contained in the following quotation:

> Entrepreneural talents (where they might exist) of the Colombian landlords being expropriated in the western lands might also be shifted into the vacant lands of the Eastern Llanos, by exchanging a greater area of eastern lands (possibly in multiples of ten, twenty or greater areas) for the lands given up to the government in the West. Suggestions of this type have been made to the government by the F.A.O. Mission.[24]

This is the proposal: in exchange for expropriated lands in the west, give — instead of bonds or government securities — land in Eastern Colombia in multiples of ten, twenty, or greater, depending upon factors of soil utility, nearness to roads, etc. This simple proposal obviously has many ramifications, most of which will not be discussed here. The financial effects of the proposal would of course be extensive. The most

[24] United Nations, Food and Agriculture Organization, "Long Term FAO T. A. Programs" (Bogota: mimeographed, January, 1962), p. 16.

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obvious effect would be the cancellation of bonds and/or government securities as means of payment for expropriated lands and the substitution of land in their stead. This would in turn produce several financial effects upon the agrarian reform program. The FAO arguments is that capital invested in unproductive landholdings in western Colombia would then be utilized by the agricultural entrepreneurs to develop the eastern areas of the country:

> Many factors have held back the landlords in the West—fear of expropriation, violence and fear of violence, reluctance to develop lands in a manner requiring use of manpower, desire to hold land for prestige and status, etc. It cannot be certain that they will perform better if their ownership rights are transferred to the vacant lands in the east; however, with the Agrarian Reform now underway, they have learned a number of important things including the inadvisability of permitting land resources to remain undeveloped. With proper credit and assistance and promotional efforts, they should, some of them, be willing to open up the East.[25]

Two other factors, one negative and one positive, support the FAO contention that the exchange of land would result in a transfer of capital from unproductive to productive use. On the negative side is the argument, previously alluded to here, that government-directed colonization efforts have not succeeded and will not succeed in producing any successful agricultural enterprises in eastern Colombia. The FAO describes the objections to government colonization in the East this way:

> Although extensive unused land areas are in the East, no more than a small fraction of the farmers without land (or with small units on poor land) can be settled in that zone simply because of the distances involved, and the resistance of most farm people to radical changes in location, and the less-efficient use of a limited number of skilled agricultural personnel available to administer such a move.[26]

The positive factor supporting the argument that the exchange of land will result in a productive diversion of capital to the East derives from the fact that most of eastern Colombia appears to be ideally suited for cattle-raising, the type of agricultural activity most favored by the larger agricultural entrepreneurs. The following quotation from the 1955 ECLA study makes this abundantly clear:

> In the Intendencia of Caquetá, particularly in the districts of Florencia and San Vicente, the largest potential livestock

25 *Ibid.*, p. 38.
26 *Ibid.*, p. 17.

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> area is found, estimated at not less than two million hectares after deducting forest reserves.
>
> About 2 hundred thousand hectares in Bolívar Department should be converted into permanent pasture for cattle . . .
>
> In Córdoba Department likewise, very fertile land at present covered with forests could be cleared and used for livestock . . . [27]

The ECLA study demonstrated that, according to information provided by the Colombian Ministry of Agriculture, of 8,1110,000 hectares of land in agriculture in the East 8,060,000 or 99.4 per cent of the farm area was being exploited for livestock production.[28] This demonstrates, in a very practical way, the adaptability of eastern Colombia to cattle-raising. There appears to be a strong probability that the land exchange proposal would result in a diversion of private funds from unproductive investments to more productive investments which would benefit the future economic and social development of Colombia.

The land exchange proposal would result in an increase in the funds available to INCORA for use in its programs of rural extension, education, credit, communication services, and other ancillary services. Abolishment of payment in bonds would automatically mean that INCORA would be free of the responsibility of paying the interest charges of four and six per cent these bonds carry or of redeeming the bonds or securities when they come due. Additionally, the proposal would obviate the necessity of paying cash for certain classes of land expropriation. The only expenses to INCORA for the acquisition of land would be the costs of surveying, classifying, and obtaining clear title to the land to be transferred, and the actual cost of the title transfer to the new owners. INCORA could profitably utilize the money saved through the land exchange method to assure the success of its parcelization efforts in the west, while leaving the development of the eastern regions of Colombia largely to private initiative. INCORA would also be able, within a short period of time, to withdraw from the costly, unsuccessful colonization efforts in the eastern areas of Colombia, thereby producing a greater savings in funds destined for agrarian reform efforts in Western Colombia. Admittedly, part of these funds would have to be utilized by the government in a program of road construction into the areas of the new agricultural enterprises. However, the melange of services necessary to the success of the directed colonization efforts of the near-destitute

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27 UN, ECLA, "Analysis and Projection of Economic Development: Colombia," p. 82.

28 *Ibid.*, 64.

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campesinos would not be prerequisite to the success of efforts at agricultural development by larger, better equipped agricultural entrepreneurs. This has already been demonstrated through the efforts of several entrepreneurs in the Caquetá region, who have begun raising beef cattle successfully in the area near Florencia. It appears that the land exchange proposal of the FAO would provide an ideal solution to the financial problems of the Colombian agrarian reform program.

While the two problems discussed are not the only ones which must be overcome, they are central to the success or failure of the efforts of those Colombians, working through the program of agrarian reform, who are striving to achieve for their nation the twin goals of economic development and extension of the benefits of this development to greater numbers of their countrymen. Some solutions to the problems besetting the reform effort have been suggested. While they are undoubtedly not the only solutions available, perhaps they are worthy of serious consideration by Colombians and others who are concerned with the success of the program of agrarian reform.

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